Chapter 1 - Why the Wealthy Don't Own Anything Personally

Worksheet: Your Exposure Audit

Complete this before reading Chapter 2. Write the answers down — the chapters ahead will use them.

1. List every income-producing activity you have (employment, business, side income, consulting). For each: is it earned personally or through an entity?

2. What was your total personal tax bill last year? What was your average rate (tax paid ÷ total income)? What is your marginal rate?

3. List your five largest assets. For each: whose name is on the title or account? What would happen to it if you were personally sued tomorrow?

4. Estimate the accrued, unrealized gain across everything you own. Multiply by your marginal rate and the 50% inclusion rate. That is a rough sketch of the tax bill your estate faces at death under current rules.

5. How much of your annual income do you actually need to live on? The difference between what you earn and that number is the capital this book's structures are designed to protect.

Chapter 2 - The Business Structure Map

Worksheet: Locate Yourself on the Map

1. Which level (0–4) describes your current structure? Which level do your income, accumulated assets, and liability exposure justify?

2. Review the eight decision triggers. Write down every trigger that is currently active for you, and the chapter it points to.

3. If you are at Level 0: what is your business income, and what are your living expenses? The gap is your annual deferral opportunity.

4. If you are at Level 2: how much has accumulated inside your operating company beyond working capital? That number is your Level 3 case.

5. If you are at Level 3 or above: when did you last review the structure against a freeze, a trust, or a purification need? If the answer is more than two years ago, book the review before continuing past Part Four.

Chapter 3 - Business Types in Canada

Worksheet: Your Entity Selection

1. Answer the four framework questions in writing. Which structure do they point to?

2. If you are unincorporated: list your business's annual profit, your living needs, and the difference. Multiply the difference by the gap between your marginal rate and ~11%. That is the approximate annual cost of not incorporating.

3. If you are a professional: what does your provincial regulator permit for PC share ownership? (Your governing body publishes this — find the current rule.)

4. If you are incorporated: does your corporation still meet the CCPC definition? Any non-resident or corporate shareholders? Any plans (including your own emigration) that would break it?

5. Write the names of the three professionals who would build your next layer: corporate lawyer, accountant, and — if a trust is in view — an estate planning lawyer. If you cannot name them, Chapter 26's advisory team criteria are your shopping list.

Chapter 4 - Business Types in the United States

Worksheet: Cross-Border Entity Readiness

1. Do you currently own, or plan to own, any interest in a US entity? Write down its exact legal form and, if it is an LLC, what tax election (if any) it has made.

2. If you own an LLC interest now: has a cross-border accountant reviewed how the CRA characterizes it? What did the last T1134 filing (if any) report?

3. List your realistic US activities over the next five years: customers, contractors, property, presence. Mark each as "from Canada" or "with a US entity."

4. If a US entity is in your future: write the C-Corp-versus-electing-LLC question in your professional-meeting agenda for Chapter 15, with this chapter's comparison table attached.

5. Name the cross-border professional (or write "none yet") who will answer questions 1–4. If "none yet," Chapter 26's criteria apply before any US formation does.

Chapter 5 - Canadian Business Taxes — Federal and Provincial

Worksheet: Your Corporate Tax Profile

1. Write down your corporation's last fiscal year: active business income, investment income, and the rates actually paid (from the T2). Do the numbers match the bands in this chapter?

2. Is your corporation associated with any other? Has a business limit allocation been filed? (If you don't know, that is the question for your accountant this week.)

3. Compute your passive income headroom: $50,000 minus last year's adjusted aggregate investment income. At your portfolio's yield, what portfolio size hits the ceiling? (Portfolio × yield = $50,000; solve for portfolio.)

4. Could the personal services business rules describe you? (One dominant client, work resembling employment, fewer than six employees.) If plausibly yes, raise it with your accountant before the CRA raises it with you.

5. Ask your accountant for your four notional balances — CDA, eligible RDTOH, non-eligible RDTOH, GRIP — and write them here. These four numbers feed Chapters 8, 9, and 11.

Chapter 6 - What You Can Write Off — Jurisdiction-by-Jurisdiction Deductions

Worksheet: The Deduction Audit

1. List every expense category your business claimed last year (from the T2 schedule 125 or your T2125). Circle the ones in this chapter's "hot zone." For each circled item, name the document that supports it. Gaps are this month's homework.

2. Vehicle: do you have a log for the current year? If not, start one today — apps make this painless — and note that a reconstructed log is the weakest evidence there is.

3. Home office: compute your business-use percentage by floor area. Does your claim match it? Is the space's use genuinely exclusive or principal?

4. Family pay: for each family member paid, write the job description, hours, rate, and payment method in one paragraph. If the paragraph embarrasses you, fix the arrangement.

5. Credits inventory: do you do anything that resembles R&D, digital media, film, or regional investment? List candidates and book the SR&ED/credit conversation — these are claim-or-lose programs with deadlines.

Chapter 7 - The Best Provinces to Operate In

Worksheet: The Provincial Comparison

1. List every province where your business currently has people, premises, or inventory. That is your PE map. Does your T2 allocation schedule match it?

2. Compute last year's tax under your current province's rates, then recompute under Alberta's. The difference is the annual value of the move — now write down what the move would actually cost (operationally and personally).

3. If you are in a PST province: estimate PST paid on business inputs last year (equipment, software, services). Add it to your provincial comparison — it is part of the rate.

4. If you employ remote workers: list their provinces. Has payroll withholding been set per province? Could any home office constitute a PE?

5. Write your verdict: the province you would operate in if tax were the only variable, the province you will actually operate in, and what the gap is buying you. If the answer is "nothing," you have found a decision.

Chapter 8 - The Holding Company Advantage

Worksheet: The Holdco Decision

1. How much sits in your operating company today beyond genuine working capital? (Working capital = what operations would need through a bad quarter.) That figure is your exposed surplus — the holdco case in one number.

2. Project your surplus accumulation: annual retained profit × the years until you would touch it. At what year does the total exceed two years of living expenses? That is your latest sensible build date.

3. Compute your passive headroom (from Chapter 5's worksheet): at your intended portfolio yield, what asset level hits $50,000 of investment income? How many years away is it?

4. If you sold your business in 36 months: would Opco pass the 90% active-asset test today? List every non-active asset currently inside it.

5. Write the agenda for the professional meeting this chapter has probably earned: section 85 rollover, dividend policy, safe income, LCGE purity, passive income management. Attach worksheets from Chapters 5 and 7.

Chapter 9 - Salary vs. Dividends vs. Capital Gains — The Owner's Dilemma

Worksheet: Your Compensation Design

1. Write down what you actually need annually, pre-tax, to fund your life. This number — not the corporation's profit — is the extraction target. Everything above it defaults to retention.

2. Collect the four balances from Chapter 5's worksheet (CDA, eligible RDTOH, non-eligible RDTOH, GRIP). Any CDA balance: why is it unpaid? Any RDTOH balance: what dividend level recovers it this year?

3. Your current mix: list last year's salary, dividends (eligible/non-eligible), and any other extraction. What did the mix buy you in RRSP room and CPP accrual? What did it cost in contributions and integration leak?

4. Decide your CPP position consciously: write one paragraph for staying in (pension value, survivor benefits) or opting toward dividends (invested difference, flexibility) — and own it.

5. Book the annual meeting and bring this page. Agenda order: CDA → RDTOH → RRSP target → bonus-down (if over SBD limit) → final split. Re-run every year; the answer is not stable.

Chapter 10 - The Corporate Compensation Stack

Worksheet: Stack Assembly

1. Bonus triage: if your corporation will exceed the SBD limit this year, model both branches — bonus down (corporate deduction, personal tax now) versus retain (~26% now, eligible dividends later). Which wins at your actual cash need?

2. Family inventory: for each family member — hours actually worked per week (and in each of the past five years), current salary, current shareholdings (% of votes and value), age. Map each against TOSI's exclusions: who is excluded today? Who could be with documentation or restructuring?

3. Health costs: total your family's last 12 months of medical/dental/vision/therapy spending. Multiply by your marginal rate — that is roughly what a PHSP would have saved. Get a quote.

4. IPP screen: your age, years incorporated, T4 salary history, and corporate surplus. If you are 45+ with $100,000+ salary history and steady profits, request an IPP illustration from an actuary this quarter.

5. Write your stack, in order, on one page — foundation, family, benefits, bonus, instruments — with one action item per layer and a date for the annual re-run. Bring it to the Chapter 9 meeting; it is now the same meeting.

Chapter 11 - Corporate Investment Accounts — What You Can Hold and Where

Worksheet: The Corporate Portfolio Design

1. Pull your corporate portfolio's current yield profile: expected interest, taxable distributions, and planned realizations for the next 12 months. Total them. How close is the result to $50,000?

2. Are your TFSA and RRSP full? If not, write the extraction cost of filling them this year — then do it before adding another corporate dollar.

3. Map your current corporate holdings against Amendment one: what percentage of expected return arrives as deferred capital gain vs. taxable income? What single swap would most improve the profile?

4. CDA and RDTOH check (the Chapter 5 balances): when was the CDA last paid out? What dividend would clear the RDTOH this year? Put both on the annual meeting agenda.

5. If Part Six (leaving Canada) is even 10% likely for you: list every Canadian mutual fund and ETF in the structure — that list is your future PFIC inventory (Chapter 19), and today is the cheap day to think about it.

Chapter 12 - Owning Real Estate Through Your Corporation

Worksheet: The Property Map

1. List every property you own or control — home, cottage, rentals, business premises — with current owner (you, spouse, opco, holdco) and rough equity. Classify each into this chapter's three classes.

2. Any personal-use property in a corporation, or corporate premises in the opco? Those are findings. Book the professional conversation for each (benefit exposure; s. 85 premises move).

3. For your next planned purchase: write the owning entity now, with the financing route and expected LTT. If you cannot name the entity, you are not ready to offer.

4. Rentals: model your portfolio at your actual scale — personal marginal-rate result vs. corporate all-in (passive rate, grind interaction, financing spread). Which wins at your door count? At what count does it flip?

5. Any US property owned or planned: write your current US-situs asset total against the $60,000 nonresident exemption and note the treaty proration. If exposure exists, the Chapter 14 reading and a cross-border call precede the next purchase.

Chapter 13 - Asset Protection and the Corporate Shield

Worksheet: The Shield Audit

1. Inventory every personal guarantee you (and your spouse) have signed: lender, amount, secured by what. Mark the ones to renegotiate at the next renewal — then actually raise them.

2. Director hygiene check: are source deductions and GST/HST on automated remittance with monthly verification? When were your last signed minutes? Could you evidence due diligence today?

3. Surplus exposure: how much sits in opco beyond working capital right now (Chapter 8's worksheet)? When did surplus last move up? Put the dividend policy in writing with a standing schedule.

4. Insurance stack review: list current CGL/E&O/D&O/key-person/umbrella limits against your realistic catastrophe. Then price a corporately owned permanent policy against your projected terminal tax (Part Seven preview) — the CDA discount is the comparison to beat.

5. Family perimeter: do a shareholder agreement and (where relevant) domestic contract exist? If the answer is no and there is a spouse or partner anywhere in the cap table, that is the most exposed flank you have — book it first.

Chapter 14 - The Canada-US Tax Treaty — What Every Cross-Border Business Owner Must Know

Worksheet: Your Treaty Exposure Map

1. Count your US days for this year and the prior two; run the substantial presence formula (this year + ⅓ + ⅙). Over 120 days a year on average means the formula is in play — write your number.

2. Inventory US-source income across the family and the structure: customers, contracts, rentals, dividends, pensions. For each: which treaty article governs, and is any filing currently claiming the benefit?

3. Services PE check: total US service days for you and each key person, per rolling 12 months, per client. Anyone within 30 days of 183 is a finding.

4. US-situs estate inventory: US real estate, US-listed securities held personally, US business interests — total value, against your worldwide estate. Compute the rough treaty proration. If exposure is material, the insurance-or-restructure conversation belongs on this year's agenda.

5. If any US entity exists in your structure: confirm with your advisor, in writing, that it currently qualifies under the limitation-on-benefits article and that no hybrid-denial rule touches its payments. Attach the answer to Chapter 15's worksheet.

Chapter 15 - US Business Structures for Canadian Residents

Worksheet: The US Structure Build Sheet

1. Define the US activity precisely: active business, partnership stake, rental real estate, or portfolio only? (The classification chooses the chapter section that governs you.)

2. Revenue test: projected US gross profit against the $8,000–$20,000 annual compliance load. At what month-12 and month-36 revenue does the structure pay for itself? If never, Chapter 14's no-PE remote selling is your answer — write the day-count and contract-authority disciplines that protect it.

3. If an entity is justified: draft the build — owner (Holdco, not you, not opco), entity (C-Corp vs. electing LLC — list the state-law features that would justify the LLC), state (carry to Chapter 16), and the intercompany flows (fees, licenses, loans) each needing arm's-length paper.

4. If you already own a default-taxed LLC: write its current annual cost (mismatch tax, stranded credits, compliance) and price the two exits (8832 election with deemed-transaction modelling; C-Corp restructure) with your cross-border advisor this quarter.

5. FAPI self-check: list any investment assets currently inside (or planned for) a US entity you control. Each line item is income Canada will tax as earned — move it to the Chapter 11 home unless a written reason says otherwise.

Chapter 16 - The Best US States for Canadian Business Owners

Worksheet: The State Selection

1. Map your real US nexus, current and 24-month projected: payroll by state, property by state, sales by destination against each state's economic-nexus threshold. This map — not preference — is your operating tax bill.

2. Formation choice: does institutional capital (VC, US public markets) plausibly feature in USco's future? Yes → Delaware C-Corp. No → Wyoming (or operating-state) formation; write which and why.

3. Price the full stack for your top two candidate states: income/franchise/margin tax at your projected revenue, annual fees, registered agent, and (if relocating) property and sales tax on your actual lifestyle. Totals, not headlines.

4. Privacy audit: list what each candidate state publishes about your entity (members, managers, addresses) — then list the disclosures that apply regardless (5472, T1134, FinCEN where in scope). Make sure no plan depends on privacy that doesn't exist.

5. If Part Six is live for you: rank Florida, Texas, and your dark-horse state across tax, homestead/asset protection, professional infrastructure, and the life you actually want. Carry the ranking to Chapter 22.

Chapter 17 - Setting Up a US Business as a Canadian Resident

Worksheet: The Setup Runbook

1. Write your assembly-sequence status: which of the nine steps are done, dated, and documented? The first incomplete step is this week's task.

2. EIN/ITIN check: does the entity have its EIN (CP 575 filed where?)? Does any pending personal filing require an ITIN — and which CAA will certify your documents?

3. Banking plan: name your first-call institution (Canadian-bank US arm), your bridge (fintech), and your fallback (in-person, which branch, with which documents). If USco will hold material balances, confirm deposit-insurance and sweep arrangements.

4. Pull last year's intercompany flows (or project year one's): every loan, fee, reimbursement, and contribution between you/Canadian entities and USco. Each line needs a contemporaneous agreement and a 5472/T106 entry — mark the gaps.

5. Build the shared compliance calendar now: entity × form × due date × preparer, both countries, including the BOI-scope annual check. Attach it to the Chapter 9 meeting agenda and the Chapter 15 worksheet.

Chapter 18 - Moving Your Existing Business to the US

Worksheet: The Migration Decision File

1. Write, in one sentence each, what "moving the business" means for you against the four meanings — then mark which one you actually need and what problem it solves that expansion would not.

2. Inventory what would move: equipment (FMV vs. UCC — recapture exposure), inventory, contracts (assignment clauses?), and the intangibles (brand, software, customer base — your honest FMV guess). The intangibles line is your valuation-engagement scope.

3. License or sell: for your key IP, write the case for each (royalty flow, reversibility, future-growth situs) and the Part Six interaction if you later leave personally.

4. Visa map: which status fits you and each key person (TN / L-1A / E-2), and does it serve the five-year endgame? Name the immigration counsel who will confirm it.

5. Build the 24-month roadmap with dates, owners, and budget against the four phases — and put the meaning-three and Part Six re-examination explicitly in month 18, where it belongs.

Chapter 19 - Moving Non-Registered Investment Accounts into a US Business Account

Worksheet: The Portfolio Border Plan

1. Identify your reader number (staying / leaving / departed) and write the one-sentence reason. If "staying," your action item is the future-proofing audit in item 2 — and nothing else in this chapter.

2. PFIC inventory: list every Canadian mutual fund, Canadian-listed ETF, and pooled product across all accounts (personal and corporate). For each: accrued gain, US-listed replacement candidate, and the tax cost of selling this year vs. at departure.

3. If leaving within 36 months: build the three-column sequence — sell-before (losses, PFICs, exits-anyway), hold-across (low-gain, US-listed, deferral candidates), decide-later — with the step-up election and departure-statement archive as standing items.

4. Brokerage map: where will each account live post-move? Confirm your Canadian broker's non-resident policy and your US door (bank-affiliate or international desk) before the address changes, not after.

5. Book the two-accountant reconciliation (Canadian departure return preparer + US arrival-year preparer, talking to each other) for your transition year — and put the Article XIII(7) election, by name, on that meeting's agenda.

Chapter 20 - Deemed Disposition — The Tax They Don't Warn You About

Worksheet: The Departure Tax Pro Forma

1. Build your deemed-disposition inventory today, even if departure is hypothetical: every capital asset, FMV estimate, ACB, caught/exempt classification per this chapter. (Your Chapter 1 worksheet started this; finish it.)

2. Compute the headline: total caught gains × 50% × your top combined rate. Write the number. This is the figure every Part Six decision is negotiating with.

3. Mark the levers against your timeline: LCGE available (QSBC tests met — or what purification would take)? Freeze candidate? CDA balance to sweep? RRSP room unused? Each lever, each lead time, each estimated saving.

4. Liquidity plan: if you left in 18 months, how would the non-deferrable portion be paid, and what security would back the T1244 election for the rest? (Shares? LC? Which assets would the CRA realistically accept?)

5. If any real probability of departure exists within five years: name the departure-tax specialist and book the orientation meeting now — the five-year levers expire quietly, one year at a time, while you decide whether you're serious.

Chapter 21 - The Exit Checklist — Planning Your Departure from Canada

Worksheet: The Severance Audit

1. List your ties today, in two columns: significant (dwelling — owned/leased/available to whom; spouse; dependants) and secondary (licences, health card, accounts, memberships, vehicles, seasonal property). This list is the project plan.

2. For each tie: the severance action, its date, and its evidence document. The dwelling line gets the most detail — sale or arm's-length lease, and dated.

3. Provincial check: which province takes your departure return at current rates, and what is the rate delta against the alternatives? (Material only for material deemed gains — but then very material.)

4. Post-departure income map: every Canadian payment that will continue (rents, dividends, RRSP/RRIF, CPP/OAS, corporate flows) with its withholding mechanism (Part XIII rate / NR6 / treaty article) pre-arranged.

5. Build the evidence binder's table of contents now — and the visit-discipline rule you will actually follow (a day budget, tracked). Write both down; the audit window is long and memory is not.

Chapter 22 - Where to Land — Top Destinations for Canadian Emigrants

Worksheet: The Landing Decision

1. Classify your post-departure income for the next decade: operating profits, portfolio returns, pensions, future business sale. Which system (worldwide/territorial/zero) prices your actual mix best? Write the annual tax under each of your top three destinations.

2. Run the structure check: if you keep the Canadian holdco, what does each candidate's CFC/anti-deferral regime do to it? (One paragraph per destination, from a professional licensed there.)

3. Write the twenty-year non-tax file for each finalist: healthcare reality, schooling, language, flight time to the people you love, political stability, and the exit door (what leaving there costs). Score honestly.

4. Immigration pathway audit: for each finalist, the realistic status route, its timeline, its renewal conditions, and its path (or not) to permanence. Status first, severance second — Chapter 21's order.

5. Pick the primary and the researched backup; then book the three-advisor meeting (Canadian departure specialist, destination tax counsel, immigration) with this worksheet and Chapters 20–21's outputs as the agenda. The decision is now a project plan.

Chapter 23 - Succession Planning Inside the Corporate Structure

Worksheet: The Succession Architecture Review

1. Draw your current cap table: every class, every holder, voting and value rights. Could value and control be separated today without anyone else's consent? If not, that articles amendment is step one.

2. Run the freeze math: current share value, growth rate, your horizon. Compute the terminal tax unfrozen vs. frozen-today (value × growth^years × 50% × top rate, against value × 50% × top rate). The difference is the freeze's price tag for waiting.

3. LCGE audit: do your shares pass the 90%/50%/24-month tests today? Per family member who could hold growth shares through a trust, count the multiplied exemption. What does purification require, and by when?

4. Shareholders' agreement check: does one exist; does it answer death/disability/divorce/deadlock; is the buy-sell funded (policy amounts vs. current value); when was the valuation mechanism last tested against reality?

5. Continuity file: dual wills (if your province permits), executor named and briefed, signing authority mapped, and the structure memo written — dated this year. If any item is missing, it precedes every tax strategy in this chapter.

Chapter 24 - Passing Wealth to Your Children

Worksheet: The Transfer Plan

1. Map the perimeter for your family: for each member — spouse, each child with age — which rules bind (attribution? TOSI? neither?) and which doors stand open (gains to minors, gifts to adults, salary for work, trust allocations within exclusions).

2. Rate-check the loan strategy: current prescribed rate vs. your portfolio's expected return. If the spread is positive and childhood costs are being paid from top-bracket income, price the loan-to-trust structure this quarter.

3. Trust inventory: if one exists — deed location, trustees, beneficiaries, the 21-year date (write it here), last T3 filed, and whether current operation matches the deed. If none exists and a freeze is in your Chapter 23 plan, the trust conversation is the same conversation.

4. Death-tools audit: spousal rollover assumed where? GRE and pipeline planning understood by your executor? Donation intentions documented where the GRE can use them?

5. Per child, write the sequence: what they receive via salary (work), allocations (trust), loans, gifts, RESP, and eventually the structure itself — with dates. A transfer plan with no dates is a hope.

Chapter 25 - The Multigenerational Holding Company

Worksheet: The Hundred-Year Audit

1. Stress-test your structure against three deaths in the wrong order (you, your spouse, a child — in any sequence, this decade). For each: who controls, who is paid, what tax falls due, what funds it? Gaps are the work plan.

2. Draft the constitution's table of contents tonight — purpose, governance, entry, exit, conflict — and write one honest paragraph under "purpose." The family meeting to finish it is the actual deliverable.

3. Exit mechanism check: if one branch wanted out at the next year-end, what document prices and schedules the buyout? If none does, write the policy question for counsel.

4. Trustee and management audit: who administers the structure if you are gone in a year — and in twenty? Is any professional trustee or independent director in place or identified? What does the next generation currently understand about the structure (test: could your eldest explain the freeze to a sibling)?

5. Calendar the relay: every 21-year date, every planned refreeze window, every review trigger (budgets, marriages, generational events) — in the permanent family calendar, with named owners. The hundred-year structure is, in practice, a list of meetings that actually happen.

Chapter 26 - Government Risk — Protecting Your Structure from Political Change

Worksheet: The Political Risk Audit

1. List your structure's five largest tax dependencies (e.g., the SBD rate, the 50% inclusion rate, the LCGE, the CDA, the treaty's 5% rate). For each: what breaks if it is halved or repealed, and what is the pre-positioned response?

2. Name each structure's three purposes (tax, protection, succession, other). Any structure with only one purpose — and that purpose a rate spread — goes on the redesign list.

3. Crystallization inventory: what exemptions, balances, and elections do you hold unused (LCGE room, CDA balance, freeze candidates)? For each: the cost of using it this year vs. the risk of losing it. Decide deliberately, in writing, at the annual meeting.

4. Build the monitoring file: who reads the two budgets for you, which digest you subscribe to, and the annual meeting's standing date with the what-changed agenda item added. Names and dates, not intentions.

5. Write the proportion paragraph: what the structure is for, what you will not sacrifice to it, and the order of operations (life, family, business, then architecture). Keep it with the family constitution — it is the page your successors will need most.